Amendment of section 72A.

14. In section 72A of the Income-tax Act, with effect from the 1st April, 2026,—

(*i*) after sub-section (6A), the following sub-section shall be inserted, namely:—
"(6B) Where any amalgamation or business reorganisation, as the case may be, is effected on or after the 1st April, 2025, any loss forming part of the accumulated loss of the predecessor entity under sub-section (1), (6) or (6A), being—
(*a*) the amalgamating company; or
(*b*) the firm or proprietary concern; or
(*c*) the private company or unlisted public company,
as the case may be, which is deemed to be the loss of the successor entity, being—
(*i*) the amalgamated company; or
(*ii*) the successor company; or
(*iii*) the successor limited liability partnership,
as the case may be, shall be carried forward in the hands of the successor entity for not more than eight assessment years immediately succeeding the assessment year for which such loss was first computed for original predecessor entity.";

(*ii*) in sub-section (7), after clause (*aa*), the following clause shall be inserted, namely:—
'(*ab*) "original predecessor entity" means predecessor entity in respect of the first amalgamation under sub-section (1) or first business reorganisation under sub-section (6) or (6A);'.